

Keeping things simple! We'll stick to 3 basic questions to determine whether we want to partner with particular management or not.

How much does the Management own?

There are two kinds of businesses:

I. Owner Operated

The CEO and CFO belong to the senior management and are members of the promoter's family. This essentially means they own 40-50% of the company. Since they own such a large portion of the company, their best interest is to increase the value of the company rather than degrade it. Here the interests aligned. We want high ownership of senior management in the company.

II. Professional Operated

If professional run companies, promoters have appointed professionals from various companies and prestigious colleges.

- They get a small percentage in the company, perhaps 2-4%, and are responsible for running a business on behalf of the promoters and the board.
- The board of directors are concerned about whether the professionals are running the company properly. If not, they will replace the professionals. i.e the senior leadership.

